

TATA STEEL

STATE: ORISSA (KALINGA NAGAR)

PROJECT: Six mt pa steel plant

INVESTMENT: Rs 15,400 crore, Nov 2004

EMPLOYMENT: 21,000 (approx.)

STATUS STUCK FOR IRON ORE

ARCELOR MITTAL

STATE: JHARKHAND

PROJECT: 12 mt pa steel plant

INVESTMENT: Rs 40,000 crore, Oct 2005

EMPLOYMENT: 50,000

STATUS STUCK FOR STEADY IRON ORE SUPPLY

TATA STEEL

STATE: CHHATTISGARH

PROJECT: Five mtpa steel plant

INVESTMENT: Rs 16,000 crore, June 2005

EMPLOYMENT: 17,500 (approx.)

STATUS LAND ACQUISITION INCOMPLETE

TATA-L&T DHAMRA PORT

STATE: ORISSA

PROJECT: Deep water port of 25 million tonne load capacity

INVESTMENT: Rs 1,500-2,000 crore, June '04

EMPLOYMENT: NA

STATUS STUCK FOR ECOLOGICAL REASONS

ESSAR PARADIP

STATE: ORISSA

PROJECT: Four mtpa steel plant

INVESTMENT: Rs 15,721 crore, April 2005

EMPLOYMENT: NA

STATUS AFFECTED BY LAND ACQUISITION ISSUES

RELIANCE INDUSTRIES

STATES: ANDRA PRADESH-GUJARAT

PROJECT: 1,440 km KG gas pipeline

INVESTMENT: Rs 48,000 crore, July 2004

EMPLOYMENT: Over 1,500

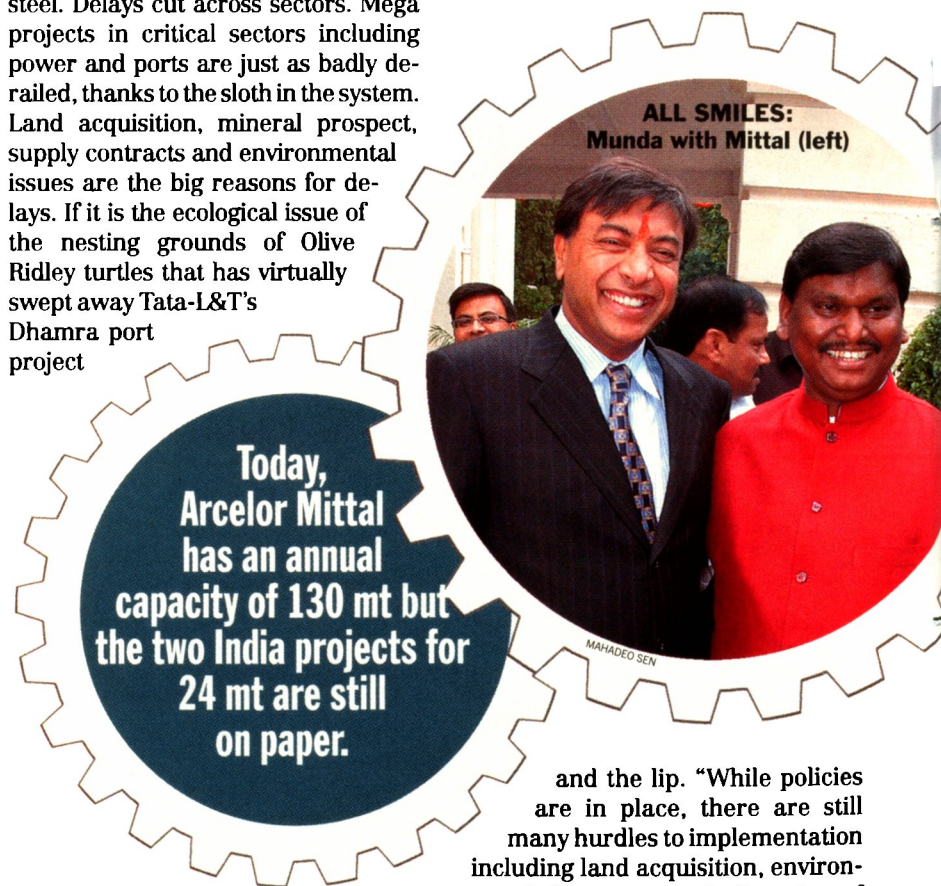
STATUS AWAITING OFFICIAL APPROVAL ON PRICING FORMULA

talk about it. Some even brush aside talks of delays in their projects. Officials at Arcelor Mittal which is yet to submit detailed project reports and acquire the land prefer the ubiquitous "work is progressing well on the two 12 million tonne per annum (mtpa) greenfield steel projects in Jharkhand and Orissa".

While steel projects are among the worst affected and visible, it is not just steel. Delays cut across sectors. Mega projects in critical sectors including power and ports are just as badly derailed, thanks to the sloth in the system. Land acquisition, mineral prospect, supply contracts and environmental issues are the big reasons for delays. If it is the ecological issue of the nesting grounds of Olive Ridley turtles that has virtually swept away Tata-L&T's Dhamra port project

an annual capacity of 130 mt but the two India projects for 24 mt are still on paper. Similarly, Tata Steel has invested over \$12 billion for Anglo-Dutch steel maker Corus to emerge as the fifth largest steel producer in the world but its plans are stuck in Orissa, Jharkhand and Chhattisgarh.

Planning Commission Deputy Chairman Montek Singh Ahluwalia admits there is a slip between the cup



in Orissa, Anil Ambani's 7,480 MW Dadri project in Uttar Pradesh, announced in June 2004, has been held up for want of gas. Power generation gets a stepmotherly treatment in a country with a peak power deficit of over 25,000 MW.

Why are projects crawling, holding back creation of additional capacity? Particularly when the industry has been flaunting its cash reserves with overseas acquisitions. The distance between the Government's ambitions of industrial growth and reality is pretty huge. In 2005, Lakshmi Mittal's plants were producing 49.2 mt steel. That was when he signed the MOU in Jharkhand. Today, Arcelor Mittal has

and the lip. "While policies are in place, there are still many hurdles to implementation including land acquisition, environmental clearances and allocation of natural resources. So the real challenge is to ensure that projects move forward." For investors hanging around for clearances, that is cold comfort. Indeed, says Vinayak Chatterjee, managing director, Feedback Ventures, an infrastructure consultancy firm, the road is retrofitted with hurdles. "Even when one actually gets the possession of land at the state level, there are encumbrances. When you look at fuel linkages from a particular state government, you again come up against encumbrances. The private sector is putting money, taking developmental risks, taking market risks, project risks, so why can't the sovereign sort